

Research briefing | France

Another government falls – snap elections loom

- **The abrupt fall of the French government today will increase pressure on President Emmanuel Macron to dissolve the National Assembly and hold snap elections to try and break the deadlock. We think this is now the most likely scenario.**
- **Alternatively, Macron could appoint yet another prime minister, possibly from the centre-left, but his chances of passing a budget would be slimmer than ever. Macron resigning is a very unlikely third possibility.**
- **We now expect even more fiscal slippage next year, with a widening deficit maintaining upward pressure on government bond spreads. However, we aren't incorporating an additional drag on GDP from the uncertainty into our already below-consensus baseline forecast.**
- **The 2025 budget is now very likely to be at least temporarily rolled over into 2026, as there won't be enough time to pass a budget before the end of the year. We expect next year's deficit to reach 5.7% of GDP, slightly higher than this year's 5.4%.**
- **The additional impact on economic activity should be limited, as France's fractured and deadlocked politics has now been fully factored in by market and businesses. This is evident in the muted reaction of bond markets so far, with spreads up by only around 5bps today.**

France has entered a fresh political crisis with the abrupt resignation of Prime Minister Sébastien Lecornu. Appointed barely four weeks ago, Lecornu resigned today after the composition of his new cabinet, announced on Sunday night, drew criticism – even from within his minority coalition.

After François Bayrou's ouster in early September, Lecornu's surprise resignation will considerably increase the pressure on Macron to dissolve the National Assembly and hold snap legislative elections, which we now view as the most likely scenario.

Chart 1: Spreads have inched up slightly following the latest government collapse



Sources: Oxford Economics, Haver Analytics

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Snap legislative elections likely, but may not break the deadlock

While snap elections now look more likely, we doubt whether they will produce a clear majority. Though legislative election results are extremely hard to predict, as they largely depend on last minute alliances between parties, it would still be a very tall order for any of the three main political blocs in the Assembly to secure an overall majority. As such, even in a snap election scenario, a continuation of the current paralysis seems to be the most likely outcome, with a far-right overall majority the main alternative scenario.

However, other possible paths for Macron are even less likely to break the political deadlock. Besides dissolving the National Assembly, Macron could nominate yet another Prime minister. However, the chances that a new centrist prime minister would be able to pass a budget are slimmer than ever after the collapse of both the Bayrou and Lecornu governments, which have already eroded opposition patience. Macron could instead try to placate the centre-left by choosing a prime minister from its ranks, but he would probably fall far short of the majority needed in the Assembly.

A third outcome would be for Macron to resign, leading to early presidential elections. Although pressure on him will continue to increase, we still see this scenario as extremely unlikely at this stage as he has clearly stated it's not an option he is considering.

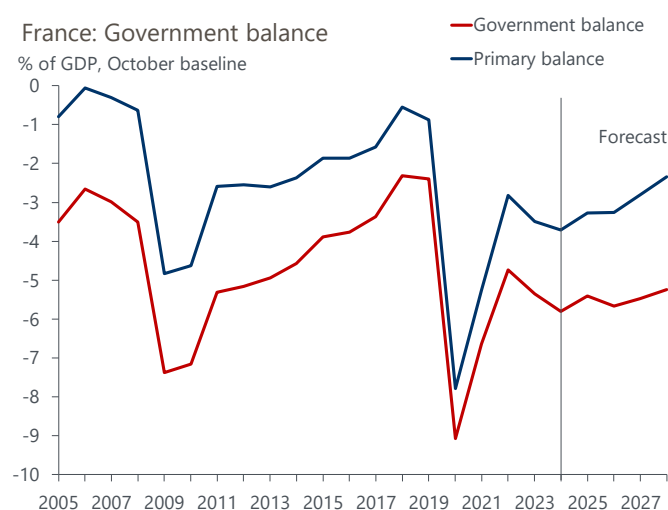
The latest crisis confirms no fiscal consolidation will take place in 2026

The fall of Lecornu's government makes it virtually impossible for the National Assembly to debate and pass the 2026 budget law through regular process before the end of the year. Therefore, similar to what happened last year, a temporary roll-over of the 2025 budget into 2026 is extremely likely. In this situation, taxes are collected on the same basis as in 2025, while government expenditure is also extended broadly at the same level as the previous year in nominal terms. However, it should be noted that large components of public spending, including pensions, are automatically indexed to inflation.

Either way, the fall of the Lecornu government does not meaningfully change France's fiscal prospects. As we explained previously, [no credible fiscal consolidation](#) was on the cards given the absence of a political consensus on the way to wind back the deficit. Instead, the latest events confirm our [long-held view](#) that no meaningful fiscal consolidation will happen before the crucial 2027 presidential election at the earliest.

In the absence of fiscal adjustment, we now think the 2026 deficit is likely to increase slightly, driven mainly by higher interest payments, while the primary balance would see little change. This would raise the deficit to 5.7% next year, up from 5.4% expected in 2025.

Chart 2: Government balance won't improve meaningfully before 2028 even in the best case



Sources: Oxford Economics, Haver Analytics

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Another government collapse doesn't change the picture, limiting the economic fallout

We expect the economic consequences of Lecornu's resignation to be limited. The recent extreme political volatility is another outgrowth of Macron's decision to dissolve the National Assembly in June 2024. Since then, instability and paralysis have been [defining features](#) of France's political landscape, something which both businesses and markets have fully factored in by now. The fall of yet another government does not alter the broader political picture.

This is evident in the fact that Lecornu's surprise resignation has had only a limited impact on bond spreads so far, which ticked up only around 5bps today. Like us, bond markets appear to be broadly of the view that fiscal consolidation isn't on the cards anytime soon, limiting the impact of political volatility on France's fiscal path.

Additional sovereign rating downgrades could be on the cards when Moody's and S&P review France's sovereign debt in October and November, respectively. However, even a downgrade is unlikely to have a major impact on spreads, given markets have already lowered their view of France's credit quality, as was evident in the absence of market reaction when Fitch downgraded France last month.

The situation is similar when it comes to the impact of political volatility on growth, as we explained in [our report](#) published before Bayrou's fall. The absence of political visibility will continue to heavily penalize business investment this year and the next, but the fall of another government does not significantly change the already a depressed environment.

Meanwhile, on the consumer side, we continue to think that the link between domestic political instability and spending decisions remains weak, limiting the impact of recent events on consumption.